

Political Economics

Date: 25-09-23

⇒ Why is it different from main stream economics?

⇒ Globalization

- Economic globalization
- Cultural globalization →

Free market:

→ cheaper foreign good (customers)

→ variety of choices for the customers

→ Export → RMG →

- Foreign currency →
- Employment
- Women ~~explo~~ empowerment

News report

↑

Raw mat (લાતરો ભાગ દેશ પરથી આવે)

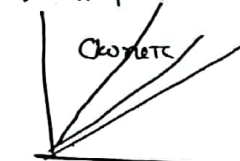
Fabric, Yarn, Chemical, Cotton, (China) (China)

Spinning mill

Cap spinning mills

↓
નાશ્વરન સરકાર

RMG to Backward linkage



wealth

labor

→ કામ નાહ, કામ કરો?

- We have to be critical

⇒ Why political economy is different from mainstream economics?
— Mainstream economy is more methodical, number biased, black & white → positive, which challenges normative and ethical situations in the real world.

⇒ Globalization

— Cultural & Economic globalization

Exchange of media,
food, social media,

Export starts the economic globalization

- Free market (withdrawing trade barriers)
 - For cheaper foreign goods
 - For variety of choices

— Free market has its drawbacks as foreign goods enter the market local goods (and the economy surrounding the product) gets face challenges.

— Economic : Export (RMG)

Bright side

Earning foreign currency
Employment
Women Empowerment

Opposit

backward linkage industry
import of raw materials
loses foreign currency
polarization of income
corruption & money drain

Ref: Reading Materials will be provided.

Trusted

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ing Returns.

, Middle East, Japan

, India, Vietnam, Africa

ies demand might sink.

→ try to grow at the same time

we need to increase production.

→ increase factor of production
the same strategy their will be
capacity.

country export more than domestic
ped country?

domestic demand is not fixed, so we can
lowering^{avg} cost of production. But as cheap
cases in the market local producers
protectionism policy (high tariff). so it's not
more than domestic demand of the importer

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* Diminishing Returns to Export Led Growth

02.10.23

Export Led Growth Model

- Employment creation, 40 lac
- Foreign currency
- Technology transfer

But the export led growth has diminishing returns.

The problem of export led growth:

① - Export market is very limited

Importer: USA, EU, Canada, Middle East, Japan

Exporter: China, Bangladesh, India, Vietnam, Africa

- The ~~export~~ importer countries demand might sink.

② - All the exporter countries try to grow at the same time to increase growth we need to increase production. To increase production $\rightarrow$ increase factor of production. If every exporter try the same strategy there will be excess industrial capacity.

③ Can a developing country export more than domestic demand of a developed country?

- As the ~~demand~~ domestic demand is not fixed, so we can export more by lowering ^{avg} cost of production. But as cheap cost products increases in the market local producers demand protectionism policy (high tariff). So it's not easy to export more than domestic demand of the importer country.

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New Development Paradigm (Export led growth) (Page - 2 & 3)

Thomas Palley's arguments on the problems of export led growth:

- ① Export Displacement
- ② Declining terms of trade/financial instability
- ③ Race to the bottom
- ④ Autonomy

① Export displacement:

— highly competitive market so one country can only grow by displacing other country's export.

Ban vs. Vietnam: If BD lower cost it can displace Vietnam.

Export displacement can also be influenced by political/infrastructure situation of the industry & country.

② Race to the bottom: one developing country is rivals of another developing country. The competition is actually among the workers/labors of the countries.

Multinational importer corp. are shifting their importers from one countries to another based on lower wage & lower requirement.

Why only try to minimize the cost by lowering wage?

- no/not strong backward linkage industry.
- the price of imported raw material is out of hand so only wage is the way.

labor law increases the production cost, so MNCs try to shift towards the countries with low to no labor law.

To get labor law established → production cost can be nullified from the huge profit of the company owner.

Environmental Regulation (ETP and other standards) increases production cost. so MNCs try to target the countries with lower
- Exploitation of child labor →
Pakistan's soccer industry was dependent on child labor but after the ban of child labor, the industry shifted to Odisha & Bihar of India.

③ Dealing terms of trade/financial instability: 9-10-23

All the countries try to export the same product. Global market is flooded with too much of the same product, which result in surplus supply and decrease in export price. so the country try to produce more to maintain the same revenue from export. Excess industrial capacity → from to much investment on production. That causes too much public money stuck on these investment which causes financial instability.

④ Autonomy: Dependency on export. Export led development depends on the demand of the developed countries. Financial crisis in the west might affect the export. Bangladesh export market limited to only a few center of growth like USA. If we could spread our center of growths, then we could avoid the risk of financial crisis impact from on export.
→ quality of development

Trusted

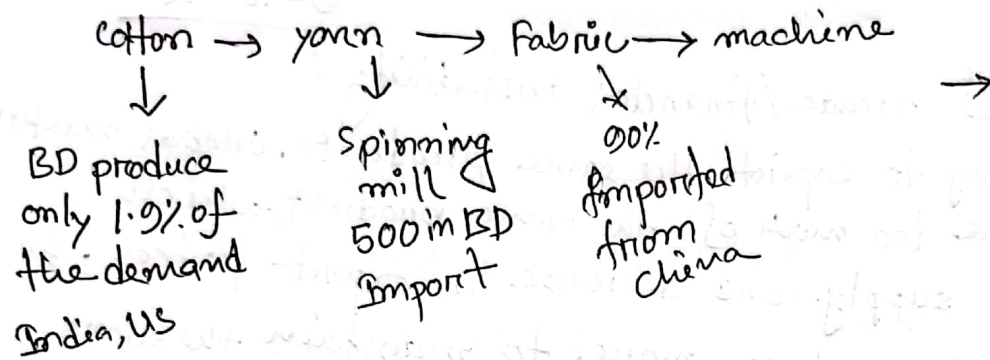
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Quality of Development from export led growth:



For RMG:



Risk of import based backward linkage (weak linkage)

1. If production falls (Climate etc)
2. no control over price
3. Import of raw materials is increasing
4. Losing Foreign currency due to import

Why are we not giving importance to BD's domestic industries?

Tant, Jute, sugar industry (domestic linkage)

Leather industry (strong backward linkage)

Trade and Development Report 2013 (UNCTAD)

UNCTAD → Market oriented approach, Alternative way is not there.

World Bank, IMF → Market oriented

→ Page-7:

⇒ Export-led growth strategies are reaching their limits

⇒ Rebalancing domestic and external forces of growth

Alternative way of development we should consider.

⇒ External forces of growth vs Domestic forces of growth

↓ Problems

1. Growth is slowing down/continued

slow growth in rich country

(Example: Production rich

country is target rich

resources are stuck in RMC)

↓ Bangladesh/Vietnam

2. Poor linkage with domestic economy.

→ Raw material: Example: Leather

→ But it is overlooked.

↓ Jeans + T-shirt + sweaters

Cotton wool.

↓ Africa, China

(Raw material dependency)

1. Export economy has good linkage with domestic economy.

(Example: Leather)

Raw material → Leather → Leather processing → good

2. Domestic demand based growth

↓ Labor

→ Labor wage must increase:

UNCTAD → Export industry's wage focuses on the cost aspect.

But domestic industry → focuses on the income aspect of wage labor.

* If income rises →



जो ० वरुन ३९-१६% raw material बारीह-हाल-आल।

↓
प्रकार अमर्या Le open काले पाण्डे वा काले Dollar अङ्कित।
आमरण काले raw materials आकलन परे अमर्या रल बा।
उर-मर्या industry - Jute, Leather, Sugarc.

< RMB को १० percent आस,
हुवा १० percent आस Article
अ. महत्वने अर दिने रल >

3. Race to the bottom - अमर्या

दास offer कल रल काले
अलक Competitor lower

Suppressed wage lower environmental standard to offer cheap product.

* suppressed wage → Impact

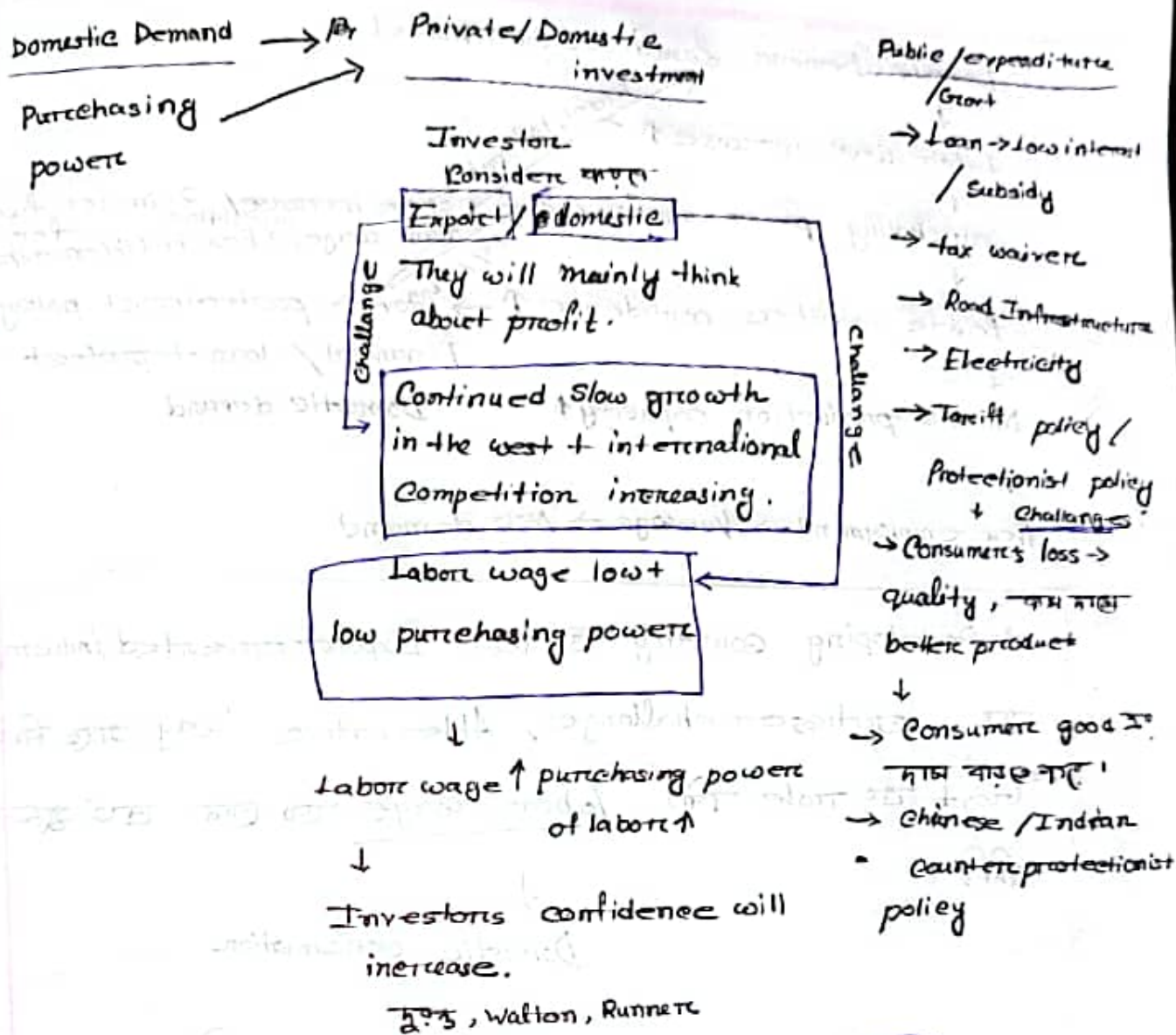
→ Consumption low
→ $\frac{3}{4}$ of population → labor/ workers
 $\frac{3}{4}$ of the aggregate demand

→ Gas Higher Demand
→ Consumption high → House hold consumption
Food → Staple Food, Processed food
 ↓
 biscuit, Maggi Noodles, Powder milk

Electronics → Smart phone
 ↓
 Water Installation
Fridge, Rice cooker
Labor ↑ Upper middle class

→ Demand will rise
→ Domestic production capacity.
→ New employment
→ New wage → New Demand

Alternative way of development:



* डेवलपमेन्ट: विकसित: आर्थिक - व्यावसायिक: प्रक्रिया: कि

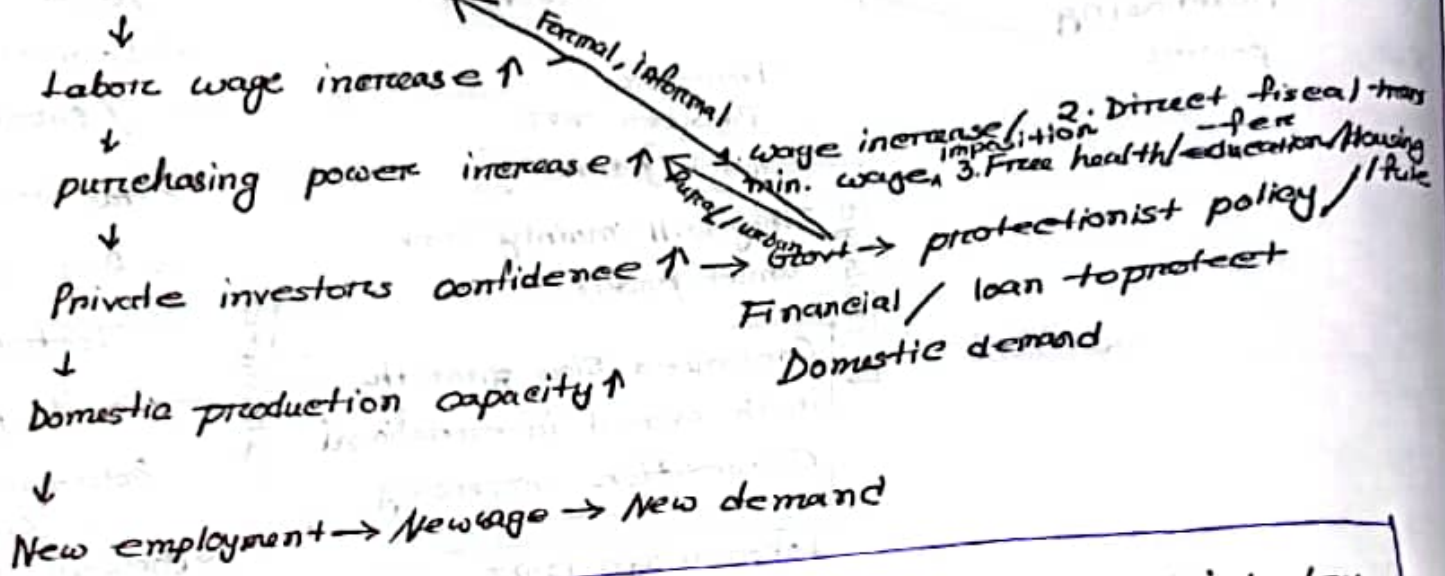
Question

Formal Sector
 Formal production
 RMG, बिजनेस कार्ड, खाता
 Call center
 Bus, train, plane
 Employed → Jute, Sugar industry
 ↳ Wage increase
 ↳ imposition of minimum wage

Govt Role

Informal sector
 किराना, इलाक, आरक्षण
 Govt subsidy:
 Direct fiscal transfer
 VGF, TCB, OMS, कॉर्पोरेट
 → Rural
 Fertilizer
 seed
 Irrigation
 pesticide
 Urban
 Housing
 Tarriff law
 Medical
 Education

Domestic Demand Based Growth Model



* Developing country এর ক্ষেত্রে Export oriented industry
 এর চ্যালেঞ্জ, Alternative way আছে কিনা,
 Govt এর role কি? labor wage কে কেন বৃদ্ধি
 দিচ্ছে?

↓
 Domestic consumption

* Domestic Demand বাহ্যিক চ্যালেঞ্জ কি?

Date: 18-11-23

" 11/12 December → Probable Tutorial "

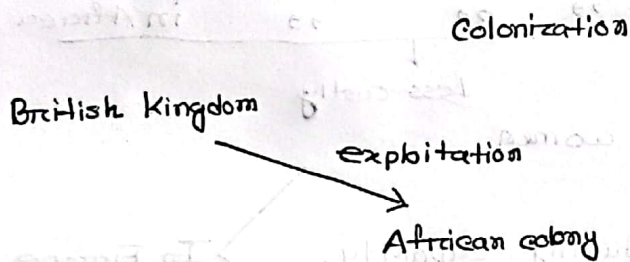
Cash Crops Vs Food Crops in Africa

~~His~~
Cash Crop

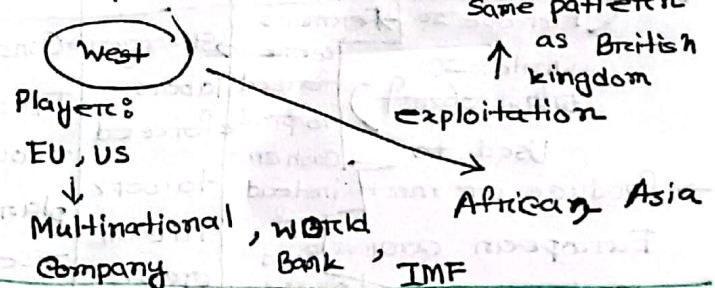
Jute, Cotton, Rubber,
Tea, Tobacco, Sugarcane,
Coffee, Ground nut,
Cocoa

Food Crop

- Pre colonization Africa
- Colonized Africa
- Post colonization



Post colonization



Question

* How does this entire exploitation mechanism repeats in Post colonization period

Ans: This is another type of Neo-colonization.

Pre Colon

Pre colonization :

- Self sufficient in food production → slave trade ~~was~~ ^{was} ~~not~~ ^{not} [before 1600]
- sophisticated techniques
- Adequate food security - self reliance
- Storage of surpluses
- Trade around food availability

Colonization:

300 years of slave trade. 100 million slaves. ~~were taken~~

1. African slaves working in European plantation in Europe/Us.

2. " " " " " " in Africa.

1. Slave :

↓
Less costly

Strong bodied men and women

- Population reduction
- Disrupted food producing capacity.
- Reduced food production

→ In Europe

Role of the colonial state

Page 41

Land	Food	Labor	Infrastructure	Low price extraction → High price selling
(Europe to Africa) Winter to summer Used to → Produce or meet European consumer need → Capture the most fertile land cash crop	Peasants were forced to produce cash crops instead of food crops. → Food patterns changed	Strongest labor force forced to work in cash crop. → state organized the	Construction of Infrastructure around cash-crop plantation. → Senegal to Mali built the railway through the ground nut field.	1930 → West Africa → Peanuts brought from peasants at low price selling to British market at a seven times higher price.

Corn, maize, rice
Vage
↓
Rubber, tea,
Coffee, Cocoa
Sugarcane,
Cotton

Flow of migra-
tion according
to plantation
area.

Why Food Security → Sub-Saharan Africa
 मासम 2.2.1, 2.2.2, 2.2.3

2.2 Impacts of food security

2.2.1

2.2.3

848, 850, 852 → Page

848 - 852 → Page

2.2 50's का पड़ने → Impacts of Colonialism on food security
 50's का पड़ने → Reduced Food production, loss of traditional sources of nutrition, Inequality within community.

→ Reduced Food Production: → Farmers preferred to grow ~~Reduce~~ edible food but forced to grow non-edible food.

⇒ Household land was diverted to export crop.

⇒ Rural to urban migration increased, Colony → Urbanization.
 More pressure on Rural Farmers, → Food shortage

→ Loss and replacement of traditional sources of nutrition;
 Monocropping → No pulse, no vegetable, no fruit, no grazing
 No supplementary diet, Less nutrition.

→ Inequality within commodity: Landlord, Local influential elite → rises.

⇒ Land capture ⇒ Provision of loans at higher interest rate 50 to 100%.

⇒ Advance payment, repay after harvest → Debt Trap

⇒ Local farming community lost capacity to control their own resources

Cash Crops Vs Food Crops (आहार (लक्षणाएँ) व नकदी)

Post Colonization: (Page 92)

→ Political structure changed

→ Economic structure continues.

→ Cash crop economy continues and keeps expanding.

Example: Senegal → 55% of arable land → Groundnuts

Ghana → 50% " " " → Cocoa

1976 Kenya → 50% " " " → Coffee

80's Rwanda Burundi Ethiopia → 70% → Coffee

9 countries → 70% of foreign income coming from 1 export crop.

→ Economic impacts:

* Price decline:

→ More and more countries are trying to produce same export crops (Coffee, tea, nuts, cocoa)

Too much supply → price decline in international market → price continues to drop

* 2. Deterioration of Terms of Trade: Price of Agriproduct is falling → Africa. West → Manufactured product (Tractor)

60s → 1 tractor → 3-ton Banana.

70's → 1 " → 11-ton "

Somalia → 30% export earning from Banana.

60s → 3 tons of rubber → 6 tractor

70's → 3 " " " → 2 " "

3. Imports of foreign currency; loss of foreign exchange

Total loss of foreign exchange:

WWII → After WWII → total loss of foreign currency →

all foreign bond/loans/investment/Aid → (not higher loss)

total loss of foreign bond/loan/investment

→ cycle of underdevelopment.

4. Import Dependency: Drought hit: → Food shortage

→ import good: Export earning + Dollar loan / Foreign loan.

↓
Declining price → Diverting more land for more export production → more price declining

In 1984 in the passage

African debt increased 130

billion.

④ Question: Impact of the continuation, How Africa become a food insufficient country?

④ Post colonial & reverse कर्ना ना?

Multinational company ↓

← MNC व. presence व. कारण, agreement

व. जल हानि आवा: food crops व switch करे पाएनि।

* खान Africa लग रहे वाले कि cash crop पाने ?

Class-8

4-12-23

Page-40

Pre colony

Self sufficiency

Page-41

Colonization

Role of the state

→ Land

→ Food Pattern

→ Labor

→ Infrastructure

→ Low price extraction

Page-848-850, 852

Impact of state

crop Policy on food Security

→ Reduced food production

→ Loss of Nutrition

→ Inequality

Page-42,43

Post Colonization

Impact of export crop policy / continuation

→ Surplus production

→ Price decline

→ Foreign exchange loss

→ Determination of terms of trade

Timor vs Banana

→ Import dependency

Loan-Debt (Example)

→ More export

Role of State

Page-43,44

→ The role of African state: (Post colonization)

Kenya → More loan / credit

more Advice on pesticide / Fertilizer

more marketing Batch up

Tanzania → 1980 Agri sector received

→ 3.5% less in development

→ Budget than previous year

→ 80% of state → large scale farming projects.

→ Increasing dependency on foreign input

→ Technology

→ Fertilizer

→ Pesticide

Import
Depends
on Euro
market

→ Tanzania Rural Development Bank

→ Loans to small farmers reduced → 1970 → 6.7% ↓ ; 80s → 1% ↓

→ Loans to big companies → 70s → 6.1% ; 80s → 10.7%

→ 78-79 → Agricultural input loan → 61% goes to Tobacco.

How Bangladeshes Shrimp pelley industry is driving a
Fishwater crisis

1. → How land pattern changed?

2. → " Food " "

3. → " Employment " "

4. → " Environment is affected?

5. → Who Benefits / who loses,

// কৃষক জমি হারান চায় না কারণ - জমি থেকে তার Earning থেকে Future
আয় থাকে। জমি হারান সে টাকা পায় তা অনেক কিছুদিয়ে নয় (অর্থ হারায়)
শিল্প জমি Generation হারায়, Generation বীধ থাকে। //

1. Land 'area': 337000 He
276000 He-late > 81% of total land of southern
east.

2. Principle paddy → rice/vegetable → ~~fish~~ large scale shrimp
cultivation → Saline water praverivation → ~~water~~ reaches into surrounding
land farming land → forced to sell land or forced to cultivate shrimp.
→ After 10 years of shrimp cultivation, agricultural ~~land~~ no
longer possible.

3. Farmers losing/selling land.

→ Migration → male members

→ Labor → Shrimp firm → Factory/processing
→ Supply chain
→ Transport
→ Ice factory
→ Packaging

4. Largest source of fresh water: Ponds/Ground water.

→ Too many saline firms

→ Spreads into fresh water

→ Saline water contaminating Ponds.

→ Fresh water scarcity

→ Drinking water dependency on market (40 times expensive
than capital)

5. Big Businessman, Exporting company, Local influential, &

→ Foreign currency

→ ~~Big~~ ~~Businessman~~ Foreign currency ~~which~~ ~~control~~ ~~the~~ ~~market~~ - ~~Food~~ ~~crop~~ ~~which~~
Cash crop ~~which~~ ~~is~~ ~~used~~ ~~to~~ ~~export~~ (shrimp) just like Africa.
(Export)

Land pattern (Page: 96)	Food/Agric Pattern (Page 90)	Employment P (92-95)	Low price Extraction	High price selling (P 88-91)	11-12-23
→ Pre Colonization?					Opportunity Cost - फार्मास्यूटिकल्स
→ Colonization.					प्रत्यक्ष/वैकल्पिक मुक्ति P (89)
				→ कृषि/धान	→ सीमा/धान
				→ नीम/काष्ठ - आय/काष्ठ (92)	→ ११ दावा
					→ वधार्थ उद्योगिक आय
					→ ११ ११ धान
					→ ११ ११ काष्ठ

- Land Pattern: → ~~ভূমি~~ Most fertile lands → $\frac{1}{3}$ land was taken (Bengal)
Dossore → 50%. Post colonization → ~~ভিডি~~ 81%.
- Food/Agro Pattern: → Pre colonization → multiple cropping → ~~বীজ, কান্না~~,
ঝণ্ডিয়া
⇒ Post colonization → monocropping → Indigo → ① shortage of food production
- Employment: → Forced labor → দাসত্ব
- Low price Extraction, High cost selling: → কৃষক: অল্প ৪ কপি, কৃষক:
- অল্প ২/৩ কপি, কৃষক: অল্প ১/২ কপি ⇒ নীলকলম মার্জ ৬ কপি, Huge profit
in european market.
- ⇒ প্রলভ ৪টি: ~~বীজ~~ অল্প → ৫ কপি (opportunity cost)
- বীজ দাস → ৭ " "
- মার্জ → ২ " "

कदाचि उ अणिया जाउ → ७ वरि ७ पाइ

बौल ठाय कपान बोल छाया विद्या प्रति रुति ८७ पानि ।

जान vs किंडी

~~Land, food~~

- ✓ Land → Africa ए. अ. अ. का cash crop बाजारों में उपलब्ध नहीं है।
अधिकतर देशों में खेती नहीं होती।
- Crises - क्या हैं ?

✓ (Food Pattern) → Post or Pre War period, shortage of agro production, internal Colonization, trade, Food production and shortage of food supply → Transportation.

✓ Employment → Post → (જોડા. શ્રમિક જમીન દયાન, internal migration, કિડિ હાથે બદલાય) variables of employment → પ્રાંતીય અસંતોષિતિ

ભાગે શ્રમિક પણ લાઇ વાળન હાથે: કાલિક Big businessmen / Company
Foreign currency માટે Big businessman / Company → Local people
શ્રમિક માટે ના.

✓ Low price extraction → કિડિ શ્રમિક (exploitation wage)

Question: Comparative analysis between indigo vs Shrimp
India vs Africa

④ Exam: ① રજા Economist

② Africa

③ ગીલ

④ Shrimp

18 • ગીલ Exam.

Origins of The food Crisis in India and Developing Countries.

⇒ European Countries depend on 'colonies' agriculture.

→ Winter → lack of fertile land

⇒ Euro consumption depended on colony's tropical land / Fertile land.

* "THE HUMAN FOOD ANIMAL FEED COMPETITION"

Political economy of global meat production.

→ Global demand for meat is rising (Newly emerging / middle east / East Asia → Malaysia, Indo)

1. Emergence of middle class (income rising)

2. Urbanization 3. Processed food

(Restaurants rising)

↓

Meat based Menu

↓

Demand for meat rising

* Where do they source their meat from?

Brazil, Australia, USA, India, Argentina, Newzeeland, Canada.
↓
Odd

Land Limit (Population & Growth)

Question

* Indian govt. is officially promoting meat export. What is the problem with that? Is it good or bad?

India → Official policy → export meat → 1st largest buffalo meat exporters. What is the problem? Cost here produces more zero

↓
The issue of grazing land. → (20 years back) No need for extra grass → (Now) Industrialization/Urbanization → Grazing land diminishing → No/Little grass available → Grazing land is replaced by stall feeding → Extra cost to buy feed (Problem) (आटा, अंडा, दूध, दही)

Economy of feed

1. One kg beef requires → 7 kg feed
2. " " poultry meat " → 2 kg feed.
3. 1 kg milk " → 0.2 kg "

↓
Requires too much land for producing feed.

Question

How does it affect food/grain pattern?

The forms of grain consumption:

1. Direct grain consumption → आटा, कुचि, Cake, Biscuits, पाउचरि, गिर्ला, चिज़, ब्रूडि.
2. Indirect grain consumption → जंक, मूजि (meat), milk, egg

With rising meat consumption:

→ Rising indirect grain consumption → who → Urban / high income / restaurant going elite.

Problem → किहू उन्नत-उन्नत ग्राहक आटा, अंडा-दूध consume करते.

1. Market system

- * বাংলাদেশে অল্প হাজারের অধ্যা বৃদ্ধি
- * বেশিমান হাস চাষ করে লাভবান

interact



দাম, অন্যান্য সুযোগ ও দাম চিকিৎসা পাওয়া



Urbanization → মাংসের Demand বৃদ্ধি কারণ

- * বীনের দাম চিকিৎসা পাওয়া কিছু বেশিমান হাস U Company বা আলাদা কোম্পানি Contract করে রাখে → Risk কম → যেদু কম্য বাদ দিলে হাস চাষ কুণ্ড করে।

Bangladesh

→ 1 মিসেল Cost of হাস → 20,000/- Selling → 20,000/-

অনেক ^{জানেন} Question Ans:

কৃষক বীর চাষ করে গিলে যে অগ্নিদু - বহু অনেক subsidy দিচ্ছে হলে। যেমন india-এ govt. direct বীর কিলে নিচ্ছে প্রকট Particular Price ও।

B

Economy
Political liberalization of Free trade / Trade liberalization

Date: 5-02-23

→ Free flow of goods :

- 1 → Elimination / Reduction of tariff / custom duty
- 2 → Quota restriction
- 3 → Elimination of duty on raw materials.

→ Protectionist policy :

- 1 → Impose tariff / custom duty
- 2 → Subsidy to local producers

Q: "Free trade benefits all" - Do you agree with this statement?
 (long-run)

⇒ प्रवाह local producers वा कमजोर रहे किन्तु दीर्घकाल local producers वा will learn to compete एवं inefficient producers वा market out हल गाल।

4 के benefits :

1. ~~Access~~ Access/availability of products local producers do not produce at all. Example: Some specific types of medicine, Industrial machinery (Capital), Submarine.
2. Access to high quality products local producers produce but low quality. Example: Car, Electronics (Japanese), Cosmetics. Winner - ^{High income} Consumer, loser - local producers trying to produce high quality products (Waltton), Indian share.
3. Availability of luxury good local producers produce less. Example: Car (BMW, Porsche, Mercedes, Audi) > Winner - high income consumers, loser - Foreign currency outflow (everybody)

4. Availability of cheaper good local producers produce but at a higher price (Chinese/Indian chargers/light) > Winner - consumer Loser - local producers.

⇒ Conflicting goods:

1. High income consumers [High income consumers का यदि - धार्मिक गिरोह
2. Low " " " " goods and services का प्रचलन प्रारंभ हो
currency outflow बाह्य या अन्तर्गत consumers का
उत्पत्ति अधिक]

3. Local producers/industry (Existing) $\square$ consumer is only stuck with one choice that is local product in protectionist policy $\square$

4. Potential local producers

Q. 11. Role of the state

1. To protect local producer/industry $\rightarrow$ creating large number of employment:

Policy 1: To subsidize provide subsidy $\rightarrow$ (Financial) Fund/loan/credit free loan/prefential credit, Research and development

Policy 2: ~~Protect~~ Impose Tariff / higher custom duty.

Policy 3: Elimination of import duty on raw material. (Cotton, yarn, Febriles)

⇒ Problems: 1. Tariff war: If you impose tariff on Chinese goods (Febrires)
China will reverse the action.

2. It kills competition $\rightarrow$ no incentive to improve quality
+ labor price (stagnant)

// Impose duty on Indian Yarn: Bangladeshi textile exporters
Urge govt //

\$8 billion domestic textile industry

- ① Why BTMA asked for import duty? → Local millers selling price
- ② Why indian yarn is cheap? → Indian imported yarn
- ③ If BD impose duty on indian Yarn should the indian millers worry?

- ② 1 Highly subsidized by indian govt
- ① Unsold stock piles → subsidized → খাণ্ডালি লাইভ
250-290 per cent
Demand 1% to 10% → cash increase

- ④ i) \$280-290 per kg — (85%) local producers of raw material
ii) \$ 2.60 — 2.70 per kg
importers sector group → RMG → knitwear, woven → Exporters (B&MEA)
- ③ Interest group: BTMA, CMAI India
high trade deficit → Export \$500 million Import \$7 billion

* ঐতিহাসিক ব্রহ্ম-রাজ্যে কল-ব্যাপার Percentage স্বল্প?

Historical protectionist policy

2.22 → USA

American independence 1776

British colony → market open → British consumer good
flooded in the U.S. market.
flood

Alexander Hamilton

Infant industry argument → protectionist → I need to protect
local new industrial from competition.

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America কান কান করে ফিডেল to protect করে।
একটি কারণ

1m 1776 → 5% flat tariff on British goods; 1792 → 1812 → 12.5%.
 1812 → War with Britain → tariff increases to 25, 35% more - the double
 1816 → 35%.
 1820 → 40%.
 1832 → 40-50%.

Bangladesh →

Question
 * Bangladesh ^{imported} ~~এ~~ ^{একটি} ~~একটি~~ ^{Product} ~~এ~~ ^{উপর} ~~কি~~ ^{কি} ~~বাণিজ্য~~
 tariff দিবে? এর impact কিসের পড়ে। ^{winner/loser}
 ↓
 producer/consumer

Page-26 40% tariff on Britain goods

Southern interest: Agro based, cotton plantation, slavery base

Northern interest: Urban/Manufacturing industry, workers → wage based, clothing → wool + cotton.

→ Prefers protectionist policy, Northern industry will be hurt by British clothing → High quality, low price.

→ Initially north, south ~~দুই~~ ^{উভয়} protectionist policy চাচ্ছে
 But ~~পরে~~ ^{পরে} southern চায় ~~কি~~ ^{কি} ~~কাগজ~~ ^{কাগজ} ~~চালা~~ ^{চালা} industrial expansion
~~রয়~~ ^{রয়} ~~কি~~ ^{কি} ~~North~~ ^{North} ~~এ~~ ^এ ~~tariff~~ ^{tariff} ~~এ~~ ^এ ~~কাগজ~~ ^{কাগজ} low quality, high price

মতঃ। Southern consumers get hurt by high ~~quality~~ low price in tariff. Access to high quality, low price grade imported goods decreased.

→ Wage based workers এর job security হারান Northmen এ।

→ British producers → Revenue and profits decline, southern এর cotton এর demand কমে যায়। Cotton import from USA decline → Southern producers loss.

Government ইহা কাঃ interest কে Priority দিবে?

Northmen এর, কার্ম ও industry expand করলে ভালো।

Compensation mechanism বিতঃ করে

Mercantilism : 15th & 16th century

① Maximize export →

② Minimize import → import substitution industry (ISI) of finished good

③ Destroy foreign competition

→ Elimination of ^{duty on} raw materials, ~~tariff~~

→ Ban/high tariff on foreign finished goods

→ Duty drawback on raw material
— Importing raw material with duty but after utilization, get refund of that duty paid.

→ Elimination of tariff on raw material

→ Export subsidy to silk, refined sugar & gun powder industry

→ Elimination of tariff on exporter of manufactured good,

* Mercantilism → capitalism → colonization for trade → use of military force

→ Force other countries to open market for british good.

→ force " " " raw materials

→ Ban import of other countries similar products.

*** British colonization in india

— cotton producing, indigo farming, demolition of 'hand' industry
building railway to lobby huge volume of cotton from india to britain

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Page: 20 Britain (1500-1600) → raw wool exporter → next 100 years → wool manufacturing industry clothing:

- raw wool from sheep
- Then send to netherlands / Belgium (low countries) as Britian had no skill / industry to produce cloth

To become a manufacturing country they needed

1. skilled worker → bringing from low countries
2. Export tariff on raw wool to stop exporting.
3. state subsidy to manufacturing facility.

History of 'Tant' industry of Bangladesh

- The conflict of GI
- The import of indian fabric in BD
- The migration of Tanti to india

when the industry becomes stable enough to compete:

1. Ban on raw wool export

5. Wool manufacturing countries collapse.

6. Countries were forced to by british manufactured wool clothing.

Wool Act of 1699: complete Ban on colonies wool products / clothing